Computational Economics

Lecture: Q Functions, Optimality, and Value Function Iteration

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Lecture Overview

- **From a Fixed Policy to Policy Improvement**
  - State values, state-action values, and the maze example
  - Greedy choices and the policy improvement theorem
- **Optimality and Policy Iteration**
  - Bellman optimality and the one-step deviation principle
  - Exact policy evaluation and improvement
- **Value Function Iteration**
  - Synchronous updates and convergence
  - Stopping errors and policy recovery

Recap: Computing the Value Function of a Given Policy

Consider a specific deterministic policy σ.

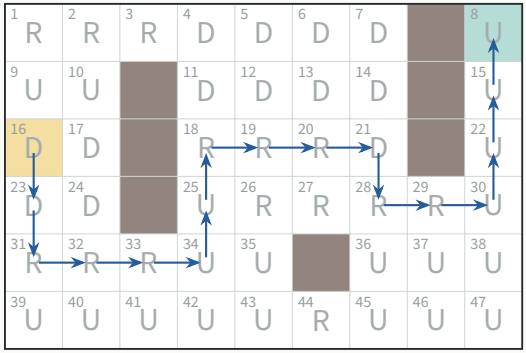


Figure 1: Actions and path under σ.

- U: up; D: down;
  L: left; R: right.
- Each move gives -1, including entry into cell 8.
- Set $\beta = 1$ for simplicity.
- Following this policy reaches cell 8 from every free cell.

Recap: Computing the Value Function of a Given Policy

With $\beta = 1$, compute values backward from cell 8, following the actions of σ.

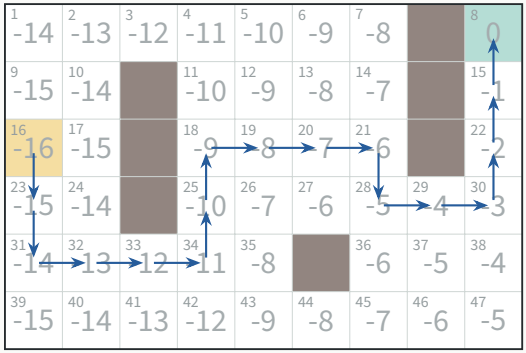


Figure 2: Values and path under σ.

$V^\sigma(8) = 0$. For every other cell,

$$V^\sigma(s) = -1 + V^\sigma(s').$$

$$V^\sigma(15) = -1 + 0 = -1,$$
$$V^\sigma(22) = -1 + (-1) = -2,$$
$$V^\sigma(30) = -1 + (-2) = -3.$$

Continuing backward gives $V^\sigma(16) = -16$.

Each value is minus the number of moves to cell 8 under σ.

From State Values to Action Values

The **state value function** $V^\sigma(s)$: follow the deterministic policy σ now and afterward.

$$V^\sigma(s) = \underbrace{r\big(s, \sigma(s)\big)}_{\text{Immediate reward}} + \underbrace{\beta\, \mathbb{E}[V^\sigma(s') \mid s,\ a = \sigma(s)]}_{\text{Discounted continuation value}}.$$

The **state-action value function** $Q^\sigma(s, a)$: choose a now, then follow σ.

$$Q^\sigma(s, a) = \underbrace{r(s, a)}_{\text{Immediate reward}} + \underbrace{\beta\, \mathbb{E}[V^\sigma(s') \mid s, a]}_{\text{Discounted continuation value}}.$$

The first action a is deliberately chosen; it need not be an action that σ selects at s.

Linking Q and V

Suppose the first action a is also chosen according to σ. Then the policy governs the entire rollout.

- **Deterministic policy:** $a = \sigma(s)$, so

$$V^{\sigma}(s) = Q^{\sigma}(s, \sigma(s)).$$

- **Randomized policy:** $a \sim \sigma(s)$. For a finite action set,

$$V^{\sigma}(s) = \sum_{a \in \mathcal{A}(s)} \Pr\{\sigma(s) = a\}\, Q^{\sigma}(s, a).$$

Example: Comparing First Actions

At cell 25, $\sigma(25) = \mathrm{U}$. Compare U and R, then follow σ.

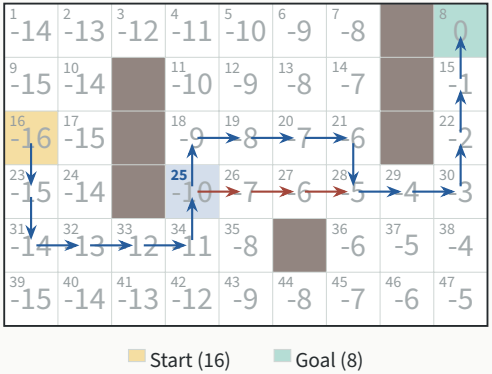


Figure 3: Policy path and shortcut from cell 25.

Up to cell 18:

$$Q^{\sigma}(25, \mathrm{U}) = -1 - 9 = -10.$$

Right to cell 26:

$$Q^{\sigma}(25, \mathrm{R}) = -1 - 7 = -8.$$

The policy chooses U, so $V^{\sigma}(25) = -10$.
Choosing R first gives a higher return.

Greedy Policy Improvement

Given the exact value V^{σ}, choose a **greedy policy** at every state:

$$\widetilde{\sigma}(s) \in \arg\max_{a \in \mathcal{A}(s)} Q^{\sigma}(s, a).$$

Because the old action remains feasible,

$$Q^{\sigma}(s, \widetilde{\sigma}(s)) \geq Q^{\sigma}(s, \sigma(s)) = V^{\sigma}(s), \qquad \forall s.$$

Greedy choices maximize immediate reward **plus continuation value**.

Policy improvement theorem: if the displayed inequality holds at every state, then

$$V^{\widetilde{\sigma}}(s) \geq V^{\sigma}(s), \qquad \forall s.$$

Why Policy Improvement Works

The **policy evaluation operator** for $\widetilde{\sigma}$ is

$$(T_{\widetilde{\sigma}} v)(s) = r(s, \widetilde{\sigma}(s)) + \beta \mathbb{E}[v(s') \mid s, a = \widetilde{\sigma}(s)].$$

It is **monotone**: $v \leq w$ implies $T_{\widetilde{\sigma}} v \leq T_{\widetilde{\sigma}} w$, state by state.

The improvement condition is $V^{\sigma} \leq T_{\widetilde{\sigma}} V^{\sigma}$. Applying the same operator repeatedly gives

$$V^{\sigma} \leq T_{\widetilde{\sigma}} V^{\sigma} \leq T_{\widetilde{\sigma}}^2 V^{\sigma} \leq \cdots \longrightarrow V^{\widetilde{\sigma}}.$$

- Each update follows the new policy for one more step. With $0 < \beta < 1$, the initial continuation has vanishing influence as $n \to \infty$.
- A strict improvement in the first inequality at a state gives a strict value gain at that state.

The Principle of Optimality

Define the **optimal values** over feasible policies:

$$V^*(s) = \max_\sigma V^\sigma(s), \qquad Q^*(s,a) = \max_\sigma Q^\sigma(s,a).$$

Principle of optimality: an optimal policy must have an optimal continuation from every state reached with positive probability.

$$\begin{aligned} Q^*(s,a) &= r(s,a) + \beta \mathbb{E}[V^*(s') \mid s,a], \\ V^*(s) &= \max_{a \in \mathcal{A}(s)} Q^*(s,a). \end{aligned}$$

Combining them gives the **Bellman optimality equation**:

$$V^*(s) = \max_{a \in \mathcal{A}(s)} \{ r(s,a) + \beta \mathbb{E}[V^*(s') \mid s,a] \}.$$

Optimality as a One-Step Look Ahead

$$V^*(s) = \max_a Q^*(s, a)$$

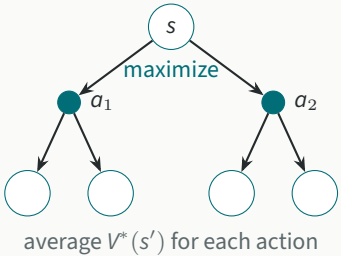


Figure 4: Choose now, average outcomes.

$$Q^*(s, a) = r(s, a) + \beta \mathbb{E}[\max_{a'} Q^*(s', a') \mid s, a]$$

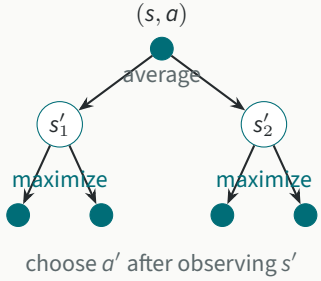


Figure 5: Fix now, choose at the next state.

Open circles: states. Filled circles: state–action pairs. Adapted from Sutton and Barto (2018), Figure 3.4; branches show possible next states.

The Bellman Optimality Operator

Replace the optimal continuation by a candidate v. The **Bellman optimality operator** is

$$(Tv)(s) = \max_{a \in \mathcal{A}(s)} \left\{ r(s,a) + \beta \sum_{s' \in \mathcal{S}} P(s' \mid s,a) v(s') \right\}.$$

- $T_\sigma v$ uses the prescribed action $\sigma(s)$; Tv chooses the best action for continuation v.
- A policy greedy with respect to v attains this maximum: $T_\sigma v = Tv$.
- The optimal value satisfies $TV^* = V^*$: it is a **fixed point** of T.

Contraction and Uniqueness

Use $\|v - w\|_\infty = \max_s |v(s) - w(s)|$. For the same state and action,

$$|\beta \mathbb{E}[v(s') - w(s') \mid s, a]| \leq \beta \|v - w\|_\infty.$$

Taking maxima cannot enlarge this bound, since

$$|\max_a x_a - \max_a y_a| \leq \max_a |x_a - y_a|.$$

Therefore T is a **contraction**:

$$\|Tv - Tw\|_\infty \leq \beta \|v - w\|_\infty.$$

The contraction mapping theorem gives a unique fixed point, V^*, and convergence to it from any initial value vector. The same bound holds for each fixed-policy operator T_σ.

When Is a Policy Optimal?

The **one-step deviation principle** gives a test using the policy's own value:

$$\sigma(s) \in \arg\max_{a \in \mathcal{A}(s)} Q^{\sigma}(s,a) \quad \forall s \quad \Longleftrightarrow \quad V^{\sigma} = V^{*}.$$

- **Sufficiency:** if no first-action change improves the return at any state, then

  $$V^{\sigma} = T_{\sigma} V^{\sigma} = T V^{\sigma}.$$

  The Bellman fixed point is unique, so $V^{\sigma} = V^{*}$.

- **Necessity:** if $V^{\sigma} = V^{*}$, then

  $$T_{\sigma} V^{*} = V^{*} = T V^{*},$$

  so σ attains the maximum at every state.

Policy Iteration

Start from any feasible policy σ_0. Repeat:

1. **Policy evaluation:** solve exactly for the current policy's value,

$$V^{\sigma_k} = T_{\sigma_k} V^{\sigma_k}.$$

2. **Policy improvement:** choose

$$\sigma_{k+1}(s) \in \arg\max_{a \in \mathcal{A}(s)} Q^{\sigma_k}(s, a), \qquad \forall s.$$

   Keep the current action whenever it is a maximizer.

3. If $\sigma_{k+1} = \sigma_k$, stop: the policy is optimal. Otherwise evaluate the new policy and repeat.

$$V^{\sigma_0} \leq V^{\sigma_1} \leq V^{\sigma_2} \leq \cdots \leq V^*.$$

Each nonoptimal policy improves strictly at some state. With finitely many policies, this process terminates at an optimum.

Value Function Iteration

VFI updates a value estimate v_k, without evaluating a policy to completion.

1. Initialize v_0, for example at zero.
2. Using the old values, compute the scores and the new values:

$$Q_k(s,a) = r(s,a) + \beta \mathbb{E}[v_k(s') \mid s,a],$$
$$v_{k+1}(s) = \max_{a \in \mathcal{A}(s)} Q_k(s,a) = (Tv_k)(s).$$

3. Repeat these updates until the required accuracy is reached.

A **sweep** updates all states using the same old v_k; store the results in a separate array.

Contraction gives

$$\|v_k - V^*\|_\infty \leq \beta^k \|v_0 - V^*\|_\infty \longrightarrow 0.$$

The estimates v_k and Q_k need not be the values of a particular policy.

Stopping VFI and Recovering a Policy

After computing $v_{k+1} = Tv_k$, measure the **Bellman residual**:

$$d_k = \|Tv_k - v_k\|_\infty = \|v_{k+1} - v_k\|_\infty.$$

Contraction implies

$$\|v_k - V^*\|_\infty \le d_k + \beta\|v_k - V^*\|_\infty, \quad \text{so} \quad \|v_k - V^*\|_\infty \le \frac{d_k}{1-\beta}.$$

- For value error at most ε, stop when $d_k \le (1-\beta)\varepsilon$ and return v_k.
- Recover a policy from the scores computed using this returned value:

$$\widehat{\sigma}(s) \in \arg\max_{a \in \mathcal{A}(s)} Q_k(s,a).$$

- Evaluate $V^{\widehat{\sigma}}$ to check the policy's achieved return. Intermediate greedy policies in VFI need not improve monotonically.

References and Further Reading

1. **Richard S. Sutton and Andrew G. Barto (2018), Reinforcement Learning: An Introduction. 2nd ed. MIT Press. [Book]**
   - Chapter 3: Finite Markov Decision Processes
   - Chapter 4: Dynamic Programming
2. **Thomas J. Sargent and John Stachurski, QuantEcon. [Online lectures]**
   - Discrete State Dynamic Programming — The Bellman Equation and the Principle of Optimality
   - Discrete State Dynamic Programming — Policy Function Iteration
   - Discrete State Dynamic Programming — Value Function Iteration